

Contestant Number: _____

Time: _____

Rank: _____



PAYROLL ACCOUNTING

(125)

STATE 2021

CONCEPT KNOWLEDGE:

Multiple Choice (20 @ 2 points each) _____ (40 points)

APPLICATION KNOWLEDGE:

Short Answer (20 @ 2 points each) _____ (40 points)

Job 1: Calculating Payroll (46 @ 1 point each) _____ (46 points)

Job 2: Payment of Payroll (12 @ 2 points each) _____ (24 points)

TOTAL POINTS _____ ***(150 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals unless otherwise indicated.
- Assume employees earn overtime for any hours worked over 40 in a week unless otherwise instructed.
- All time calculations are rounded to the nearest quarter hour.
- Use 6.2% for Social Security Tax on the first \$100,000 in wages.
- Use 1.45% for Medicare Tax for all wages.
- Use 5.4% for State Unemployment Tax and 0.8% (\$7,000 ceiling) for Federal Unemployment Tax.
- Assume that no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated.

Multiple Choice: *Identify the letter of the choice that best completes the statement or answers the question.*

1. All of the following information should appear on a W-2 form *except* _____.
 - a. name, address, and employer information
 - b. interest earned on savings and investments
 - c. wages, tips, and compensation from that particular employer
 - d. the amount paid during the last year for Medicare and Social Security
2. You filed your taxes and found out you owe money. What could you do to prevent this from happening next tax year?
 - a. Increase the number of withholdings on your W-2 form.
 - b. Decrease the number of withholdings on your W-2 form.
 - c. Increase the number of withholdings on your W-4 form.
 - d. Decrease the number of withhold things on your W-4 form.
3. How does a payroll accountant keep track of employee's year-to-date earnings for wage bases on taxes like FICA, FUTA, and SUTA?
 - a. Form W-2
 - b. Form W-4
 - c. Payroll Register
 - d. Employee Earnings Record
4. Which of the following is the *largest* source of income for the federal government?
 - a. Income Tax
 - b. Payroll Tax
 - c. FICA tax
 - d. Property tax
5. Which of the following is *true* about payroll taxes?
 - a. The employee pays the full 12.4 % in Social Security and 2.9% in Medicare.
 - b. The employee and employer share the 12.4% in Social Security and 2.9% in Medicare.
 - c. Employees send their payroll taxes directly to the federal government.
 - d. An individual's FICA taxes can be deducted on their individual income tax return.
6. Sarah and Steve earn the exact same amount of money, but they are paying a different amount in taxes. Which of these is a reason they might pay different amounts?
 - a. They use different online tax filing software.
 - b. Steve is older than Sarah.
 - c. They live in different states.
 - d. Sarah filed her tax return earlier than Steve.
7. Which of the following events should happen *first* in a calendar year?
 - a. Deadline to file your taxes with the IRS
 - b. Deadline to file your taxes with the IRS if you already requested an extension
 - c. Deadline to receive your W-2 form from your employer
 - d. Deadline to mail your W-4 form to the IRS

8. What is the deadline for an employee to receive their W-2 from their employer?
 - a. Within 30 days of hire
 - b. December 31
 - c. January 31
 - d. April 15
9. Each employer must file a _____ federal tax return showing federal income tax, social security tax and Medicare tax due to the government.
 - a. monthly
 - b. quarterly
 - c. yearly
 - d. semiannual
10. Until the amounts withheld from employee pay are paid by the employer, they are recorded as _____.
 - a. revenue
 - b. salary expense
 - c. assets
 - d. liabilities
11. The payment of payroll taxes to the government is referred to as a _____.
 - a. tax reimbursement
 - b. transfer payment
 - c. deposit
 - d. tax fulfillment
12. The withholding allowances of an employee affects _____.
 - a. social security tax withheld.
 - b. federal income tax withheld.
 - c. federal unemployment tax withheld.
 - d. state unemployment tax withheld.
13. The amount on the employee's earnings record used to determine if certain payroll taxes apply to an employee's earnings is _____.
 - a. net pay
 - b. accumulated earnings
 - c. gross earnings
 - d. social security taxes
14. Each employer is required by law to report their quarterly payroll taxes on an _____.
 - a. IRS Form 941
 - b. IRS Form W-2
 - c. IRS Form W-3
 - d. IRS Form W-4

15. The form used to report annual earnings and payroll taxes for all employees to the Social Security Administration is the _____.
a. I-9
b. W-2
c. W-3
d. W-4
16. You worked four overtime hours at time and a half pay. Your regular pay rate is \$8.70 per hour. What was your overtime pay for the week?
a. \$13.05
b. \$52.50
c. \$52.20
d. \$69.60
17. You are paid \$275 a week and a commission of 7% on all sales. Your sales this week were \$3,904. What were your total earnings for the week?
a. \$548.28
b. \$558.28
c. \$2,732.80
d. \$3,007.80
18. You are paid every other week and have an annual salary of \$42,810. What is your gross pay for each pay period?
a. \$823.27
b. \$1,646.54
c. \$1,783.75
d. \$2,140.50
19. You are paid \$12.50 an hour for a 40-hour work week. Your estimated benefits are 35% of your wages. What is the value of your total yearly employee benefits?
a. \$175.00
b. \$2,100.00
c. \$4,550.00
d. \$9,100.00
20. You have a gross weekly pay of \$448. Federal withholding is \$16 and FICA is \$34.27. Calculate net pay as a percentage of gross pay.
a. 11.2%
b. 11.3%
c. 88.8%
d. 89.9%

Short Answer: (20 @ 2 points each = 40 points)

1. Bill earns an annual salary of \$52,595 for a 40-hour work week. Complete the following chart:

Monthly Pay	Biweekly Pay	Weekly Pay	Hourly Rate	Overtime Rate
a.	b.	c.	d.	e.

2. Convert the following pay into a regular hourly rate and an overtime rate for a 40-hr week.

	<u>Hourly Rate</u>	<u>Overtime Rate</u>
\$51,455 per year	a. _____	b. _____
\$2,888.00 bi-weekly	c. _____	d. _____
\$8,490.00 per quarter	e. _____	f. _____

3. Using the information provided, calculate the missing amounts.

- Grace is paid \$16.30 an hour and worked 38 hours during this week's pay period.
- She pays \$76.00 on a credit union loan each paycheck.
- She contributes \$10.00 to the PAT fund from each paycheck.
- She pays \$135 a month (4-week month) for health insurance.
- Grace is paid weekly.

Grace's Take-Home Pay

Gross Pay	a.
Federal Income tax	\$ 72.29
State Income tax	\$ 38.52
Social Security tax	b.
Medicare tax	c.
Health Insurance	d.
Credit Union	e.
PAT fund	f.
NET PAY	g.

What percentage of gross pay is Grace paying in state income tax? h. _____

What percentage of gross pay did Grace pay for health insurance? i. _____

Production Section:

Job 1: Calculating Payroll

For each of these piece-rate employees at Anderson Industries, find the total pieces produced and the gross pay for the week ending May 15, 2021.

NAME	M	T	W	TH	F	Total Pieces	Rate per Piece	Gross Pay
Johnson, T.	54	55	59	62	60		\$1.60	
Anderson, S.	24	28	30	31	27		\$2.80	
Simmons, L.	63	69	59	62	50		\$1.55	
Thomas, A.	68	65	72	74	75		\$1.18	
Balderas, A.	52	48	66	48	51		\$1.50	

Using the information you found on these five employees, complete the following payroll register. For the Federal Income tax, use 8% of their gross pay. They live in a state with no state income tax. Fill in the remaining amounts to determine their net pay.

NAME	Total Earnings	Fed Income Tax	Social Security	Medicare	Total Deductions	Net Pay
Johnson, T.						
Anderson, S.						
Simmons, L.						
Thomas, A.						
Balderas, A.						
TOTALS						

Job 2: Payment of Payroll

Using the information from Job 1, use the general journal below to journalize the payment of employee payroll for the week of December 15. Check No. 425.

GENERAL JOURNAL					Page 1
Date	Account Title	Doc No.	Post Ref	Debit	Credit